

ATTACHMENT VAAM M807- C
Consolidation Determination and Findings

Veterans Integrated Service Network (VISN) 20 Engineering Services Multiple Award
Task Order Contract (MATOC) Indefinite Delivery Indefinite Quantity (IDIQ)

FINDINGS

I. INTRODUCTION.

Network Contracting Office (NCO) 20 plans to solicit offers for VISN 20's Engineering Services MATOC IDIQ to support facilities in Alaska, Idaho, Oregon, and Washington states, and has conducted market research that demonstrates consolidation of this procurement to be both necessary and justified. Engineering services will cover studies, design, and construction period services as needed.

II. BACKGROUND

A. Requirement

The purpose of this acquisition is to put a MATOC IDIQ in place with approximately eight awardees for a total shared capacity of \$65,000,000.00 (\$65M). This requirement will provide engineering services under North American Industry Classification Standard (NAICS) code 541330 "Engineering Services" (\$25.5M size standard) to support facilities located in the states of Alaska, Idaho, Oregon, and Washington. The resulting MATOC IDIQ will be for a five-year period with a base of one-year and four options of one-year each. This acquisition will be solicited under full and open conditions as a total set aside for Service-Disabled Veteran Owned Small Businesses (SDVOSBs).

VISN 20's requirements were previously met by a MATOC IDIQ pool that was put in place in 2018 and expired September/October 2023. These MATOC IDIQs were also set-aside for SDVOSBs. 11 firms were identified as part of this pool. Each firm was given an individual capacity of \$20M. Most of the potential capacity was unobligated. Most firms completed services satisfactorily based on a review of current CPARS records that the firms have already had an opportunity to respond to.

Previous MATOC Socio-Economic Status in Addition to SDVOSB/VOSB

Disadvantaged	Women-Owned
5	1

The above chart demonstrates that while the prior MATOC was set-aside for SDVOSBs, the SDVOSBs awarded the IDIQs were spread amongst multiple socio-economic statuses.

Consolidating VISN 20's requirements into a MATOC IDIQ rather than individual requirements provides a Brooks Act covered services vehicle that, as far as market research has indicated, is not available on a regional or Agency-wide vehicle already. The use of a MATOC IDIQ allows NCO 20 to issue task orders in a shorter

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average Procurement Acquisition Logistics Time (PALT) since the MATOC IDIQ holders will already have a SF330 on file that has been reviewed and vetted, and the AE will only need to submit updates as determined necessary under the proposed ordering procedures, whereas an open market individual requirement would require NCO 20 and VISN 20 to solicit and review SF330s from the open market for each individual procurement at approximately 50 pages or more each based on current open market procurements.

B. Applicable Statutes/ Regulations

This Determination and Finding (D&F) is based on FAR 7.107-2 Consolidation and VAAM M807 requirements. Since this requirement is for Engineering services, the Brooks Act is required to be adhered to as well.

C. Market Research.

Market research was conducted in accordance with FAR 10.001(a)(2)(iv) and has demonstrated that Consolidation is necessary and justified.

Notifications (see FAR 10.001(c)).

☒ VA Small Business Specialist (SBS) and local Small Business Administration (SBA) procurement center representative (PCR) (see FAR 10.001(c)(1)).

Shayne Park (NCO 20 SBS) and Yuri Dyson (SBA PCR) have been notified.

☒ Affected incumbent small business concerns (see FAR 10.001(c)(2)).

NCO 20 announced that it was looking for firms interested in this requirement. Former MATOC holders were given opportunity to respond on the impact. The only input NCO 20 has received has been positive by way of interest in the requirement. 8 of the 11 former MATOC holders showed direct interest in this requirement. 1 former MATOC holder submitted interest as part of a joint venture.

Results of Market Research (FAR 7.707-2(1)).

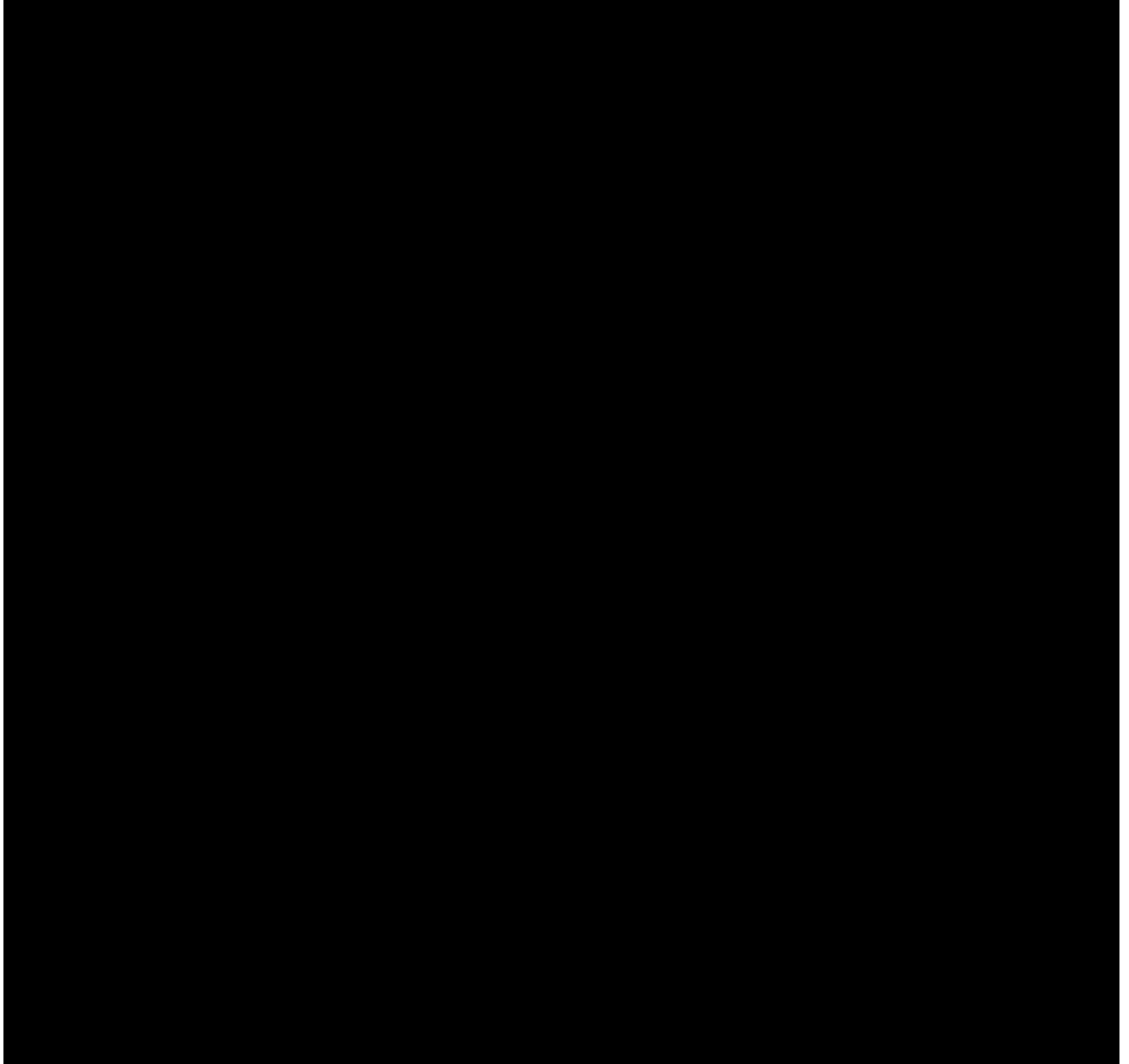
Market research was conducted from October 2020 to October 2023. A full market research report is available as Attachment 1 entitled 541330 Market Research Report Original to this determination and finding for consolidation.

NCO 20 issued a sources sought 36C26023Q0781 on 6/29/2023 and closed 7/19/2023. 28 responses were received in response to the Sources Sought, of the 28 responses, 27 were SDVOSBs and one was a Small Disadvantaged Business. In addition, of the SDVOSB responses received, nine were former

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MATOC holders. A review of the responses revealed that all were considered overall to be highly qualified to support this acquisition.

The following is a list of the responses. (*FMH*) indicates a former MATOC holder.



The following chart demonstrates that, like the prior MATOCs, market research conclusively shows not only multiple- SDVOSBs, but SDVOSBs spread across multiple socio-economic status, to support both agency regulations (VAAR 819 pursuant to 38 USC 8127 and 8128) and provide the potential to meet small business goals.

Socio-Economic Statuses Other than SDVOSB/VOSB

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SDB	WOSB	SDVOSB JV	SB (Non SDVOSB)
12	4	1	1

3,406 concerns were identified under NAICS 541330 in Small Business Administration's Veterans Certify database.

A query of the Small Business Administration's Dynamic Small Business Search (DSBS) for the NAICS resulted in 16,236 SDVOSB, 3,184 Veteran Owned Small Businesses, 7,974 WOSB Woman Owned Small Businesses, 9,454 8(a), and 4,738 HubZone businesses.

Based on the analysis of these results, NCO 20 has a reasonable expectation that eight or more qualified SDVOSBs will participate in this acquisition.

III. CONSOLIDATION.

A1. Benefits.

To be determined necessary and justified, the benefits of the consolidated acquisition must substantially exceed the benefits that would be derived from alternative contracting approaches that involve less consolidation. Such benefits may include quantifiable cost savings or price reductions as well as other benefits, regardless of whether quantifiable in dollar amounts, to include quality improvements that will save time or improve or enhance performance or efficiency, reduction in procurement administrative lead time (PALT), better terms or conditions, or any other supportable benefit.

Reductions in Procurement Action Lead Time (PALT) is expected to be achieved through consolidation via the approach to issuing orders against the MATOC. Using the MATOC will result in a minimum of one to three weeks of time saved per requirement solicited against the MATOC in comparison to open market procedures. This highlights a benefit IAW FAR 7.107-2(c) and (d)(2) to support consolidation.

The new MATOC will utilize a Task Order Proposal Request (TOPR) to all awardees in line with Brooks Act requirements. Utilizing a TOPR will streamline the acquisition process by reducing the procedures to issue one document, the TOPR, with instructions for the two phases, team submission/discussion and pricing phase. The MATOC holders will respond to the TOPR identifying their team of consultants and subconsultants that were already reviewed and accepted on the SF330 submitted for the MATOC award and answering any discussion questions relating to the project. They will also be permitted to submit any updates to the SF 330 that may affect the immediate project. After selection of the most highly qualified firm, that firm will be requested to submit a price proposal. Negotiations on pricing will be held as needed based on initial review of

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pricing. Using this process will reduce PALT by one to three weeks depending on dollar value of acquisition.

The terms and conditions including hourly rates will be established in the resultant MATOC and will apply to all task orders. Having the terms and conditions established at the MATOC level will result in efficiencies with the use of the MATOC. The terms and conditions of the contract are consistent and known throughout the life of the contract and will flow down to each task order. The continuity of the terms and conditions provides efficiencies for all involved by having clear and consistent content structure, which becomes familiar over time. This highlights benefits IAW FAR 7.107-2(c) where quality improvements will improve efficiency and result in better terms and conditions through standardization, allowing the Government and contractors to have clear understanding of what is required versus open market contracts that may differ in terms and conditions requirement to requirement, increasing administrative burden. Furthermore, IAW FAR 7.1070-2, there is a cost benefit in negotiating fair and reasonable hourly rates in advance for a five-year period on a firm fixed price IDIQ with no economic price adjustment considerations other than as required by use of a DOL wage determination where applicable such as administrative assistant positions. The hourly rates will be based on current rates and anticipated increases in hourly rates over the course of the contract and puts risk on the contractor.

The anticipated financial benefits are not quantifiable and cannot be demonstrated to meet the thresholds in FAR 7.107-2(d)(1). However, the expected benefits not quantifiable in dollar amounts are critical to the agency's mission success and this procurement strategy provides for maximum practicable participation by small business. The efficiency of this procurement reduces administrative cost and burden.

In addition to the benefits to the Government outlined above pursuant to FAR 7.107-2 requirements, consolidating these efforts into a multiple award contract is in alignment with the statutory preference for multiple award contract types outlined in FAR Part 16. For these reasons, consolidating the Engineering services requirements under a MATOC is justified.

A2. Mission success.

Without a MATOC in place to provide streamlined project execution, increased procurement times for acquisitions may occur, resulting in delays to total project completion. Projects are forecasted for each fiscal year, and then further refined by quarter for obligation. Increased procurement time affects the planning process and causes a back log of projects which support the care of our Veterans. Therefore, a MATOC vehicle is critical to the agency's mission success.

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B. Procurement strategy

The procurement strategy, based on market research, is to set this acquisition aside 100% for SDVOSBs. This maximizes practicable participation by small businesses as prime contractors for this requirement since only small businesses will be awarded prime contracts. Any SDVOSB certified through the Small Business Administrations (SBA) and qualifying as a small business in SAM.gov with NAICS 541330 may submit a response for this acquisition.

The SDVOSBs will be required to follow applicable FAR part 19 and VAAR part 819 set-aside requirements in relation to the limitation in subcontracting. This will be verified through their SF330 submissions which must list all consultants and subconsultants they intend to use on the MATOC IDIQ and evaluation of cost proposals for subsequent task orders.

The intent is to award up to 8 contracts with a shared dollar value of \$65M across all MATOC holders. The maximum value was calculated by taking current estimates of projects that are intended to be issued against this MATOC over the five-year period. After reviewing the historic data on MATOC capacity usage, the Contracting Officer determined that moving to a shared capacity approach was the best interest of the Government. NCO 20's previous MATOC for A-E Services gave each A-E an individual capacity of \$20M. As of 8/9/2024, out of a total capacity of \$220M across all 12 original MATOC holders from the 2018-2023 MATOCs, \$166,372,422.55 of capacity was not used. Of the 12, only 4 received more than \$4M in awards, with the majority receiving \$3.8M or less in awards. Only three firms received more than \$10M in awards, and of those, only 1 firm came close to their capacity of \$20M. The shared capacity approach encourages competition for projects and allows the firms who are more interested in competing for projects to be able to meet the requirements, rather than hitting capacity and being unable to compete, limiting competition for requirements.

A pool of up to 8 contractors has been determined to be sufficient to ensure competitive project procurements when a requirement is contemplated under NAICS 541330.

C. Alternative approaches

One alternative approach considered would be to have NCO 20 personnel procure architecture and engineering projects by competing separate individual open market acquisitions. However, it is not advantageous as it will increase the procurement lead times required, impeding mission success. The use of open market procedures is less efficient than competition under a MATOC as explained in section III, paragraph A.1.

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Another alternative approach considered would be to have each of the 8 facilities develop a site specific MATOC. The current NCO 20 facilities have near identical requirements that are competed upon by the same pool of contractors. However, using this approach through separate MATOCs substantially duplicates efforts and would be inefficient to execute and not in the Government's best interest.

D. Negative impact

Over a five-year period, this acquisition would remove up to \$65M worth of projects from the overall marketplace, allowing only those SDVOSBs who are awarded this MATOC to compete for subsequent task orders. Any non-SDVOSB small business will be impacted by this strategy. However, this strategy complies with the requirements of the Veterans First Contracting Program.

E. Inclusion of small business concerns

The Veterans Benefits, Health Care, and Information Technology Act of 2006 requires the Department of Veterans Affairs to give priority to Veteran-Owned and Service-Disabled Veteran-Owned small businesses when awarding contracts. In accordance with Department of Veterans Affairs policy, market research, and previous procurement history, there is high confidence that a 100% SDVOSB set-aside will meet requirements and is the best procurement strategy for this organization.

As discussed above, other non SDVOSB small business concerns are impacted as a result of the Veterans First Contracting Program requirements. At this time, no further strategy has been contemplated to further inclusion of small business concerns at the subconsultant level based on the proposed strategy.

The projects for this MATOC range as low as \$2,500.00 and up to \$5,000,000.00. The variety in magnitude of projects under NAICS code 541330 provides an inclusive environment for all applicable SDVOSB concerns to compete for this MATOC and individual task orders thereafter.

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IV. DETERMINATION

Based on the above, I hereby determine that in accordance with FAR 7.107-2(a) that consolidation is necessary and justified.

PREPARED BY: I hereby certify that the supporting information and data used to complete this determination is accurate and complete to the best of my knowledge and belief.

WENDY DUVAL

Digitally signed by WENDY
DUVAL
Date: 2025.02.03 09:48:45 -08'00'

Wendy Duval
Contracting Officer
Network Contracting Office 20

Date

REVIEWED BY: I have reviewed this determination and find it to be accurate and complete to the best of my knowledge and belief.

STEPHEN ALLEN

Digitally signed by STEPHEN
ALLEN
Date: 2025.02.04 07:00:34 -08'00'

S. Dale Allen
Director of Contracting
Network Contracting Office 20

Date

Concur:

CURTIS JORDAN

Digitally signed by CURTIS
JORDAN
Date: 2025.02.05 16:08:30
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Curtis M. Jordan
Executive Director, Regional Procurement Office West
Head of Contracting Activity (HCA)

Date

Approve:

**ANGELA
BILLUPS**

Digitally signed by
ANGELA BILLUPS
Date: 2025.02.06 16:16:19
-05'00'

Dr. Angela Billups
Executive Director, Senior Procurement Executive

Date